

In a recent conference call with analysts, Alok Aggarwal, CEO & MD of Brookfield REIT, said war will not impact GCC decisions to relocate to India.

While the office spaces demand is well-established, what about mall spaces?

“Leading domestic and international brands continue to prioritise high productivity malls that offer scale, visibility and consistent consumption catchments. This is also translating into healthy leasing momentum and rental growth for quality assets, even as the broader market remains selective,” says Pratik Dantara, Head of Strategy at Nexus Select Trust.

“Organised retail continues to gain share, premiumisation trends are strengthening across categories,” says Dantara.

CATERING TO INVESTORS

At their core, REITs are like mutual funds in the way they function. These real estate trusts invest in rent-yielding commercial spaces. REITs usually tend to own and operate these properties via special purpose vehicles (SPVs). Each SPV that is subsidiary of a REIT tends to manage one specific property. Usually, there are several SPVs functioning under most listed REITs.

The Sebi has mandatory clauses for the functioning of REITs that act as guardrails for investors. At least 80% of the assets that a REIT owns must be invested in income-generating commercial real estate.

These entities are also expected to distribute a minimum of 90% of their net distributable cash flow (NDCF) on a quarterly or at least annual basis. NDCF is roughly the income earned via rentals, less the expenses incurred to operate the



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RAHUL JAIN

HEAD OF PUBLIC MARKETS, ALT INVESTMENT PLATFORM



“IT services firms that gave up space during Covid are leasing more space now. AI is more likely to accelerate the flight to quality office spaces”

RAMESH NAIR

CEO & MD, MINDSPACE REIT

assets. Most listed REITs tend to distribute well above this limit to unitholders.

REITs also aren't allowed to borrow beyond 49% of their GAV. Any further debt requires shareholder approval. The loans to GAV ratio is 18% to 32% for the five listed REITs as of FY26, well below the regulatory threshold. And all listed REITs have the highest 'AAA' credit rating.

Sebi reclassified REITs as equities with effect from January 1, 2026. They enjoy equity taxation – gains made from sale of units held for more than one year are taxed at 12.5%. Portions of dividends paid to unitholders under certain heads such as repayment of loan are tax efficient. Typically, 70-90% of the dividends are tax efficient. These are not taxed until those payouts exceed the acquisition price of the REIT.

“Sebi's move to classify REITs can encourage participation by mutual funds and specialised investment funds, improve liquidity and deepen price discovery by bringing them closer to mainstream portfolio allocation. It also strips away the 'alternative asset' perception for retail investors,” says Peush Jain.

Rahul Jain, Head of Public Markets, Alt (an alternative assets investment platform) says, “This decision brings India in line with the global best practices of including REITs within equities. A few REITs already meet the criteria to be included in Mid-cap index, Nifty 500, etc. Once included, it will also lead to inflows from passive funds and ETFs tracking these indices.”

Overall, REITs stand on a firm wicket for the foreseeable future. As a testimony to this, India's largest value-driven mutual fund scheme with ₹1.41 lakh crore assets under management, Parag Parikh Flexi Cap, has a solid 4.1% exposure to REITs. **BT**